TOPIC 1 · THE GLOBAL ECONOMY

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US midterms could shift Congress, but Trump's tariffs are likely to stay

> Democrats are favoured to win the House on Tuesday 3 November and want to repeal key tariff laws. Analysts say a presidential veto means tariffs will very likely survive.

WHAT HAPPENED

- Republicans hold the **House 218–214** and the **Senate 53–47**. Democrats need a net gain of four seats in each chamber; they are favoured in the House, and the Senate is close.
- The **'End Trump's Tariff Tax Act'** (28 co-sponsors) would repeal the laws behind the Canada tariffs and the **temporary 10% global tariff**, and refund the duties collected.
- Neither party is expected to win a **two-thirds majority** to override a veto, so analysts expect symbolic votes rather than a new law.
- The White House says it has signed nearly **20 trade deals** and plans a probe into 'excess industrial capacity' in **16 trading partners**.

218–214
Republican House majority

53–47
Republican Senate majority

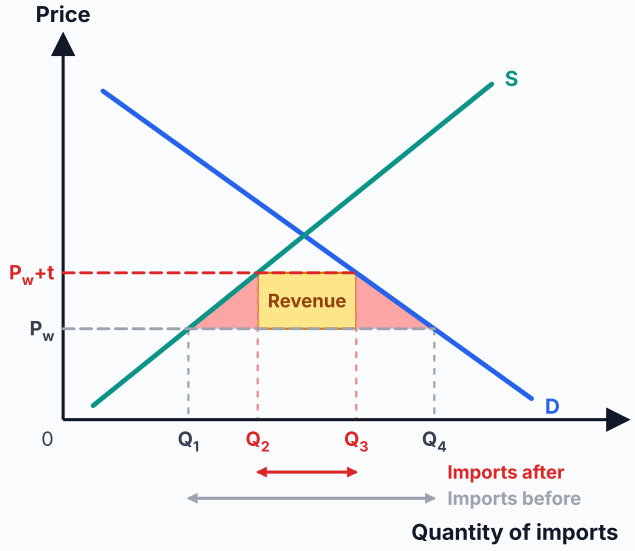
10%
Temporary US global tariff

~20
Trade deals the White House claims

Key terms: protectionism, tariff, deadweight loss, trade diversion, veto, trade agreements

DIAGRAM

The effect of a tariff on an importing country



With free trade, consumers buy at the world price P_w and imports are large. A tariff lifts the domestic price to P_w+t.

US consumers lose: they pay more and buy less. **Domestic producers** gain and expand output. The **government** collects tariff revenue, and **imports shrink**. The red triangles are **deadweight losses**, an efficiency cost to the economy.

Exam angle: tariffs on Canada and the 10% global tariff reduce world trade volumes and can **divert trade**, which matters for trade-exposed economies such as Australia. Diagram not to scale.

FLOW CHART

Why the tariffs are likely to survive the midterms

Democrats may win the House → Bill passes to repeal tariff laws → President vetoes the bill → No two-thirds majority to override → **Tariffs stay; Trump adds more by executive action**

SYLLABUS LINK

Topic 1 – protectionism: reasons for and effects of tariffs; the political economy of trade policy; impacts on global trade flows and on other economies.

TRY THIS

1. Using a diagram, explain the effects of a tariff on consumers, domestic producers and the government in the importing country. **(6 marks)**
2. Explain why US tariffs may continue even if the Democrats win control of Congress. **(3 marks)**

Reuters via GV Wire: gvwire.com/2026/11/01/democratic-wins-would-shift-congress-trade-debate-but-fall-short-of-us-tariff-rollbacks/